GMS WEEKLY

Your Source for Recycling News

January 27th, 2023
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Week 4

Highlights:

- **Holiday mood.**
- **Container sales.**
- **Tankers out.**
- **Price bounce.**
- **L/C hopes.**
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QUOTE of the WEEK

"Weaknesses are just strengths in the wrong environment."

– Marianne Cantwell

MARKET COMMENTARY

LOOKING UP!

Following a virtually inert 2022 and a slightly busier start to 2023 at the various recycling destinations, much of the Far East was off celebrating Chinese Lunar New Year holidays this week and it has expectedly been a quieter period - in terms of sales and activity.

A larger number of container vessels have so far been sold for recycling at the start of the year, and we are beginning to see signs that older dry bulk vessels with surveys due may follow suit in the near future as well.

Additionally, following a glut of tanker vessels concluded for recycling at the beginning of 2022, this is the one segment that is still flying and it wouldn't be entirely unsurprising to see any meaningful recycling take place from this particular sector any time soon.

Prices and demand have also started to bounce back across Indian sub-continent markets (except Pakistan) and Turkey, although whether Pakistan and / or Bangladesh can open LC/s to import units remains an ongoing question of serious concern.

Meanwhile, after a year of sustained instability and turmoil in 2022, currencies (except in Pakistan) have finally started to settle at their current lows and there is growing optimism (certainly in Bangladesh) that talks regarding an IMF loan may bring some much needed liquidity into the country so that end buyers can open L/Cs and import tonnage once again.

Finally, steel plate prices in India, Bangladesh and Turkey were on a slightly upward trajectory this week other than Pakistan, where plate prices and the Pakistani Rupee recorded one of the worst plummets in recent memory.

For week 4 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Positive	545 / LDT	555 / LDT	565 / LDT
2	Bangladesh	Positive	540 / LDT*	550 / LDT*	560 / LDT*
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

Subject L/C approval

BANGLADESH

FEW REALISED!

Improving.

Sentiments and prices have certainly improved in Bangladesh over these past few weeks, yet there have been very few sales recorded into Chattogram due to the ongoing finance and / LC issues.

Buyers are still trying their hardest to open Usance L/Cs or provide private financing, rather than going through government banks who are currently refusing to open any non-essential L/Cs.

Sales elsewhere.

As a result, a majority of the tonnage being proposed for sale has been focussed on India for the time being - not only HKC green sales, but also favoured containers, which are currently receiving the best prices of any market.

Finally, on the domestic fundamentals front, steel plate prices improved by about USD 7/Ton, whilst the Bangladeshi Taka seems to have settled at the BDT 105 region, further boosting the local mindset and willingness to bid on tonnage, even though most options are limited due to ongoing financial hurdles.

As such, it certainly seems to be a conflicting time ahead for the Bangladeshi market.

NO MARKET SALES REPORTED

INDIA

READY TO FIRE!

After several sales over recent weeks at increasingly firmer levels, it has been an altogether quieter week in Alang due to various holidays, including the 74th Republic Day of India and the Chinese New Year.

Quieter.

On the local fundamentals front, the Indian Rupee has been trading at far steadier levels in the mid Rs. 81 against the U.S. Dollar – having previously seen hovering close to Rs. 83, whilst steel plate prices, though ever volatile, have managed to maintain their levels over the course of the week.

Demand rising.

Indian Buyers therefore seem primed for a busier year, given the growing number of empty plots after a very slow 2022; indicating a demand that is gearing up again, leading to improved sentiments and pricing.

NO MARKET SALES REPORTED

PAKISTAN

OUT OF IT!

Frustrated.

Frustratingly for Gadani Recyclers, having offered the lowest (sub-continent) prices in addition to their recent inability to open fresh L/Cs, has unsurprisingly stranded the Pakistani market at the bottom of the sub-continent rankings, leaving local Buyers unable to import any new vessels.

Further hampering their ability to offer firm on units has been the Pakistani Rupee that has depreciated an alarming (nearly) 9% in a single day, wrapping up the week at over PKR 262 against the U.S. Dollar – a historic record for the PKR.

Currency woe.

Pakistani steel plate prices also recorded a noteworthy decline, plunging nearly USD 64/Ton during the course of the week, leaving nearly all Gadani Recyclers on the sidelines as they sit by and watch other markets push on to acquire tonnage.

As such, until the currency, plate prices and L/C issues settle, it appears as though Pakistan will remain out of the buying for the foreseeable future.

NO MARKET SALES REPORTED

TURKEY

JUMPY…AGAIN?!

After last week's surprising drop in import steel by about USD 15/Ton and local steel prices by about USD 5/Ton, this week, both import and local steel plate prices rebounded by USD 20/Ton and USD 5/Ton respectively.

Steel back?

Even the Lira, seems to have stabilized a touch over recent weeks, winding down the week at TRY 18.80 against the U.S. Dollar.

Meanwhile, as per news from local sources, demand does remain strong and negotiations on units basis Spring deliveries are still ongoing, however there has been no confirmation of any fixtures into Aliaga of late.

USD 50/MT.

Notwithstanding, given the recent firming of levels by over USD 50/MT, we can certainly expect news of fixtures and / or arrivals at Aliaga anchorage in coming week(s).

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The shortest war in history lasted 38 minutes. When the sultan of British-protected Zanzibar died and a new one took over without British approval in 1896, the Brits were not happy. Tension escalated when Sultan Khalid bin Barghash refused to step down, but the British warships spent less than 40 minutes bombarding the palace before Khalid fled, marking the (very quick) end of the Anglo-Zanzibar War.*
- *Blue whale tongues can weigh as much as an elephant and their hearts, meanwhile, can weigh almost a ton and need to beat just once every ten seconds.*
- *The world's largest waterfall is underwater. Yes, there are waterfalls under the ocean. At the Denmark Strait, the cold water from the Nordic Sea is denser than the Irminger Sea's warm water, making it drop almost two miles down at 123 million cubic feet per second.*
- *Michelangelo wrote a poem about how much he hated painting the Sistine Chapel*
- *One translation of the poem he sent to his friend begins: I've already grown a goiter from this torture, hunched up here like a cat in Lombardy (or anywhere else where the stagnant water's poison). Doesn't sound like he was too thrilled with his task..*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in February	February 04 – February 10 February 18 – February 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 08 – February 11 February 21 – February 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 21 – 27 – Spring Festival **No holidays in February**	February 05 – Kashmir Solidarity Day	**No Holidays in February**

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ALANG - Port Position as of January 27, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Delta 1*	*7,852*	*Container*	*Beached January 24*
2	Evgeniy Zotov	734	Reefer	Arrived January 18
3	Farquhar No. 2	462	Fishing Vessel	Arrived January 10
4	Pioner Nikolaeva	3,899	Fishing Vessel	Arrived January 25
5	*Richards Bay 1*	*18,109*	*Bulk Carrier*	*Beached January 21*
6	Setia (Under Tow)	10,050	Drilling Vessel	Arrived January 27
7	*SPM Agility*	*10,933*	*Tanker*	*Beached January 22*
8	*Super Shuttle RoRo*	*5,222*	*Roro*	*Beached January 25*
Total Tonnage		**57,261**		

CHATTOGRAM - Port Position as of January 27, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Don	9,543	Bulk Carrier	Arrived January 25
3	Fu Ocean	3,532	General Cargo	Arrived January 17
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	*Hai Feng 698*	*7,240*	*Reefer*	*Beached January 21*
6	Hang Shun	1,217	Tanker	Arrived January 13
7	*Hong De*	*7,534*	*Bulk Carrier*	*Beached January 26*
8	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**62,598**		

GADANI - Port Position as of January 27, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Witty	23,001	Bulk Carrier	Arrived January 18
Total Tonnage		**23,001**		

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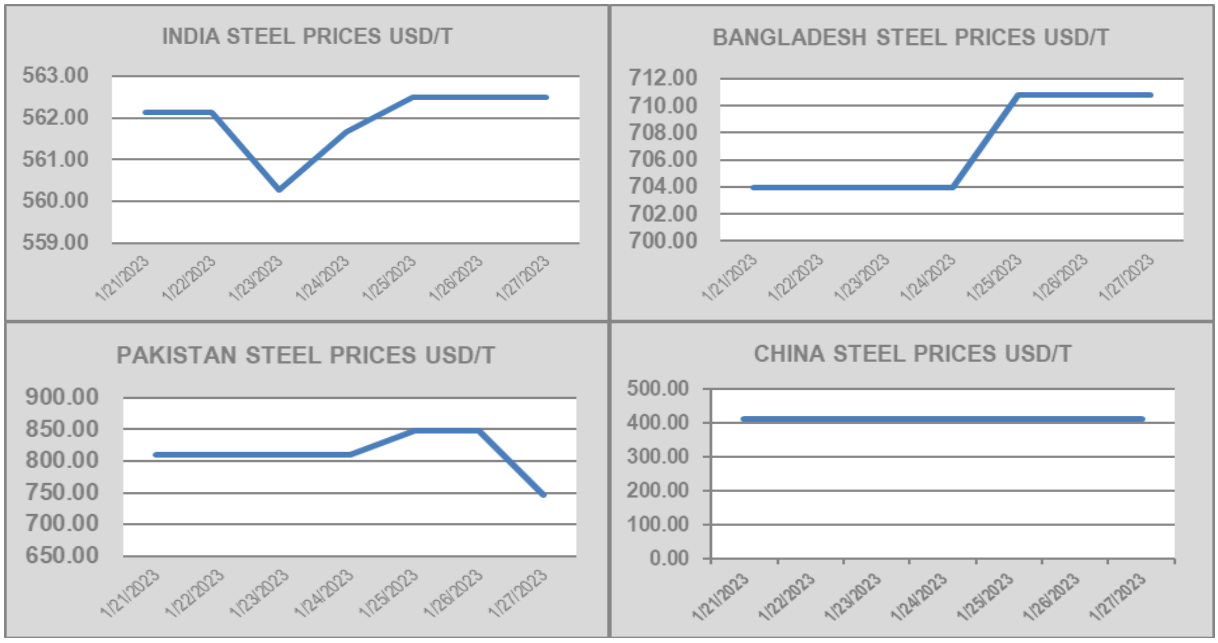
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/21/2023	562.13	45,600.00	809.63	185,000.00	703.92	71,800.00	413.01
1/22/2023	562.13	45,600.00	809.63	185,000.00	703.92	71,800.00	413.01
1/23/2023	560.27	45,600.00	809.63	185,000.00	703.92	71,800.00	413.01
1/24/2023	561.67	45,900.00	809.63	185,000.00	703.92	71,800.00	413.01
1/25/2023	562.50	45,900.00	847.57	196,000.00	710.78	72,500.00	413.01
1/26/2023	562.50	45,900.00	847.57	196,000.00	710.78	72,500.00	413.01
1/27/2023	562.50	45,900.00	746.38	196,000.00	710.78	72,500.00	413.01



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